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**CARIBBEAN EXAMINATIONS COUNCIL
CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®**

MANAGEMENT OF BUSINESS

UNIT 2 – Paper 02

2 hours 30 minutes

30 MAY 2013 (p.m.)

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C.E.S.E.C.

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Begin **EACH** question on a separate page.
5. Each question is worth **25 marks**.

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02233020/CAPE 2013



SECTION A

MODULE 1: PRODUCTION AND OPERATIONS MANAGEMENT

Answer ONE question from this section.

- 1.** BKJ Cement Manufacturing Company has been receiving a lot of complaints from customers about the quality of its products. It is considering implementing certain strategies to improve its products.

(a) Distinguish between 'quality control' and 'quality assurance'. **[4 marks]**

(b) Discuss THREE ways in which poor quality can affect the performance of BKJ. **[12 marks]**

(c) Outline THREE techniques that BKJ can use to improve quality in its organization. **[9 marks]**

Total 25 marks

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2. Kazol Wine Inc is planning to introduce a new premium wine on the market. The tasks involved in producing this product, the estimated time required and the order in which the tasks may be undertaken, are given below. (The tasks have been coded.)

Task	Order/Dependency	Estimated time (weeks)
A	must be done first	3
B	can only start when A is completed	5
C	can only start when A is completed	4
D	can only start when B is completed	5
E	can only start when C is completed	6
F	can only start when E is completed	8
G	must wait for D and E to be completed	6
H	can only start when F is completed	5
I	must wait for G and H to be completed	6

- (a) (i) Draw a network diagram to represent the tasks outlined above. [10 marks]
- (ii) Determine the length of EACH path. [2 marks]
- (iii) Determine the critical path. [1 mark]
- (iv) State the expected length of the project. [1 mark]
- (v) Calculate the amount of slack time for EACH path. [2 marks]
- (b) Kazol Wine Inc uses a flow production system.
- (i) Define the term 'flow production'. [1 mark]
- (ii) Outline TWO advantages and TWO disadvantages of a flow production system. [8 marks]

Total 25 marks

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SECTION B

MODULE 2: FUNDAMENTALS OF MARKETING

Answer ONE question from this section.

3. (a) Explain what is meant by EACH of the following marketing strategies:
- (i) Branding [2 marks]
 - (ii) Price skimming [2 marks]
 - (iii) Direct distribution channels [2 marks]
- (b) Discuss ONE advantage and ONE disadvantage of EACH marketing strategy in (a) above. [19 marks]

Total 25 marks

4. Stellar Marketing Research Inc has been asked to conduct a research project for SAM TV company. The TV company wants to find out consumer preferences for different types of programmes and the preferred timing of these programmes. They want the research to be conducted within a six-month period. "Accurate information is a prerequisite and cost is not an issue", says the chairman of SAM TV company.

- (a) (i) State ONE main difference between 'primary data' and 'secondary data'. [2 marks]
- (ii) a) State TWO reasons why primary data would be the preferred type of data for this research. [2 marks]
- b) Identify ONE piece of evidence from the scenario above to support your reasons. [1 mark]
- (iii) Identify FIVE essential categories of information that should be contained in the consumer profile. [5 marks]
- (b) (i) Outline THREE main differences between 'probability sampling' and 'non-probability sampling'. [6 marks]
- (ii) Stellar Marketing Research Inc has chosen probability sampling. Outline THREE reasons to justify the company's choice of sampling technique. [9 marks]

Total 25 marks

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SECTION C

MODULE 3: SMALL BUSINESS MANAGEMENT

Answer ONE question from this section.

5. Mrs French, an employee of a marketing company, was laid off due to cost-cutting measures. She wants to enter the world of entrepreneurship by establishing her own business providing janitorial services to the financial district of Cashville.

- (a) Explain what is meant by the term 'entrepreneur'. **[2 marks]**
- (b) Outline FOUR characteristics that Mrs French should possess in order to be a successful entrepreneur. **[8 marks]**
- (c) Discuss TWO opportunities and THREE challenges that Mrs French may face if she decides to set up her janitorial services business. **[15 marks]**

Total 25 marks

6. Healthy Juices Enterprise, a small supplier of healthy drinks operating in a large residential community, has recently added a new product — Drink Smart to its existing product line. Drink Smart is a 100 per cent natural fruit juice. It is ideal for persons with 'lifestyle' diseases. There has been a growing demand for the product. The marketing consultant plans to distribute the product by using a retail channel or a one-level channel.

- (a)
 - (i) Explain what is meant by the term 'one-level channel' of distribution. **[2 marks]**
 - (ii) Identify TWO types of retail businesses or outlets that could effectively distribute the company's new product — 'Drink Smart'. **[2 marks]**
- (b) Outline THREE main factors that may have influenced the marketing consultant's choice of distribution channel. **[9 marks]**

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- (c) The owners have approached the bank for a loan to assist in the promotional and distribution activities of the business. The bank has requested that they produce a business plan.

(i) Define the term 'business plan'. [2 marks]

(ii) Describe FOUR components that should be included in the business plan. [8 marks]

(iii) Explain ONE way in which a business plan can be useful to the owners of the business. [2 marks]

Total 25 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.